UNSHAKEABLE FINANCIAL PARTNERS

A NOTE ON POLICY DESIGN

The 5 Pillars of a Properly Designed IUL

Five things to look for in an indexed universal life policy meant to build cash value, and questions to ask about yours.

1. **Death benefit sized to the goal.** If cash value is the main goal, the design usually uses the lowest death benefit the tax rules allow for the premium. A high death benefit with little funding can mean higher insurance costs and less cash value. (If protection is the main goal, a larger death benefit may be right.)
2. **Conservative illustration assumptions.** Ask to see the illustration at a lower credited rate and the guaranteed values. Projections are not guaranteed.
3. **Staying under the MEC line.** Funding faster than the tax code allows turns the policy into a modified endowment contract, and loans become taxable gain-first.
4. **Costs you understand.** You should know your cap, participation rate, cost of insurance and surrender charge schedule, and that the insurer can change caps and rates.
5. **Annual reviews.** Ask for an in-force illustration each year to see whether premiums, credits and loans are on track.

If your policy is missing some of these, that isn't automatically a reason to replace it. Many policies can be adjusted by changing funding, the death benefit or allocations. Replacing a policy, including through a 1035 exchange, can mean new surrender charges and costs, a new contestability period and new underwriting, and may not be in your best interest. Your current agent or insurance company can also review it with you.

Want to see how this looks for you?

Book a free 15-minute call with Tracy Hoth, a licensed insurance agent: unshakeablefinancial.com · (435) 232-3234. No obligation. If it isn't a fit, we'll tell you.

Important information. For educational purposes only; not tax, legal or investment advice. Consult your own tax and legal advisors. Indexed universal life (IUL) and other cash-value life insurance is life insurance, not an investment, a bank account or a security, is not FDIC insured, and is subject to medical and financial underwriting. Policies have fees and charges, which are highest in the early years, and surrender charges apply for a number of years. Indexed interest credits are subject to caps and participation rates that the insurance company can change, and may be zero; the 0% floor applies only to index credits, and fees can still reduce cash value. Illustrations are hypothetical and not guaranteed; always review the guaranteed values. Policy loans and withdrawals accrue interest, reduce cash value and death benefit, and may be taxable if the policy lapses, is surrendered or is a modified endowment contract (MEC). A policy may require additional premium to stay in force. Guarantees are based on the claims-paying ability of the issuing insurance company. Trace (Tracy) Hoth is a licensed insurance agent, Utah License #7616161, licensed in UT, ID, WY, VA, OH, NM, WA, GA, NC, SC, NV. Unshakeable Financial Partners LLC, 419 S 455 E, Smithfield, UT 84335. We offer life insurance and annuities only.